

Financial Health Report

Central Depository Services (India) Ltd. (CDSL)

Central Depository Services (India) Ltd. (CDSL) is a central securities depository that holds financial assets in electronic (dematerialised) form, maintains ownership records, and facilitates the settlement of trades on the Indian stock market. Rather than dealing directly with the investing public, CDSL operates through a network of registered intermediaries such as depository participants, making it a critical piece of India's capital market infrastructure.

Revenue & Growth

Over the five years under review (FY2022 to FY2026), the company has demonstrated high expansion alongside a moderating pace of profit growth in the final year, prompting closer examination of the underlying drivers.

Revenue from operations has grown consistently across the five-year period, rising from ₹41,480.33 lakh in FY2022 to ₹96,045.23 lakh in FY2026. Year-on-year growth accelerated sharply from 8.6% in FY2023 to 42.2% in FY2024, before settling at 32.3% in FY2025 and 49.8% in FY2026, indicating that growth has, if anything, strengthened rather than slowed in absolute revenue terms.

Total assets followed a broadly similar upward trajectory, expanding from ₹1,02,652.35 lakh to ₹1,97,552.53 lakh, a total increase of 92.4% over the period. However, the composition of growth was uneven: Total Non-Current Assets fluctuated markedly, growing by 129.6% in FY2023, decelerating to 20.65% in FY2024 and just 1.52% in FY2025, before rebounding sharply by 37.02% in FY2026. Total Current Assets, meanwhile, fell by 29.51% in FY2023 before recovering in subsequent years. Financial Current Assets recorded the fastest growth of any line item, with a five-year CAGR of 154.4% and total growth of 4,091.9%, underscoring a significant build-up of liquid or near-liquid holdings.

Notably, expenses grew faster than revenue in the later years. Total Expenses rose from 34.42% of revenue in FY2023 to 46.10% in FY2026, with Finance Cost, though small in absolute terms, recording the fastest proportional increase of any expense line at a CAGR of 102.62% (total growth of 1,585.37%), and Employee Benefits and Other Expenses also rising steadily as a share of revenue.

Profitability

Profitability has been on a gently declining trajectory when measured on a margin basis. EBITDA Margin fell from 83.76% in FY2022 to 68.49% in FY2026, and Net Margin declined from 63.59% to 48.75% over the same period, reflecting the faster growth in operating expenses relative to revenue noted above.

Net Profit After Tax (NPAT) grew from ₹26,376.24 lakh in FY2022 to ₹46,820.95 lakh in FY2026, but growth was markedly uneven: 3.15% in FY2023, 33.53% in FY2024, 27.19% in FY2025, and just 1.32% in FY2026. This sharp deceleration in the final year, despite revenue growth of 49.8%, indicates that cost inflation, particularly in employee benefits, depreciation, and other expenses, materially compressed the bottom line. Return on Equity (ROE) and Return on Capital Employed (ROCE) both peaked in FY2025 (36.11% and 41.80% respectively) before easing back to 31.33% and 36.93% in FY2026, consistent with the moderation in profit growth against a still-expanding equity and asset base.

Profitability Metric	FY2022	FY2023	FY2024	FY2025	FY2026
EBITDA Margin	83.76%	79.96%	77.08%	74.76%	68.49%
Net Margin	63.59%	60.39%	56.68%	54.48%	48.75%
ROE	31.03%	29.91%	34.07%	36.11%	31.33%
ROCE	39.54%	34.61%	40.16%	41.80%	36.93%

Liquidity & Solvency

CDSL's liquidity position remains comfortable throughout the period, although it has narrowed over time. The Current Ratio (equal to the Quick Ratio, given negligible inventory and prepaid expenses) fell from 4.59 in FY2022 to 2.76 in FY2026. While still well above the conventional benchmark of 1.0–2.0, the consistent downward trend across five consecutive years merits monitoring.

Solvency is not a material concern for CDSL. The Debt-to-Equity ratio, based on lease liabilities as the only debt-like item on the balance sheet, remains negligible throughout, at 0.00013 in FY2022 and only 0.00098 in FY2026, despite lease liabilities themselves growing by approximately 1,292% over the period (from ₹11.22 lakh to ₹156.26 lakh, having peaked at ₹230.85 lakh in FY2025). Interest Coverage, though extremely high throughout given the near-absence of debt, declined sharply from 41,140.84 times in FY2022 to 4,368.25 times in FY2026 as finance costs rose from a low base; this remains a function of the small denominator rather than a genuine solvency risk.

Cash Flow Obvs

Cash Flow from Operations (CFO) has generally tracked the growth in reported profits, rising from ₹23,188.15 lakh in FY2022 to a peak of ₹44,278.38 lakh in FY2025, before easing slightly to ₹43,072.69 lakh in FY2026 (a decline of 2.72%), broadly consistent with the moderation seen in NPAT growth that year.

Cash Flow from Investing has been consistently negative across all five years, reflecting ongoing deployment of surplus funds, and Cash Flow from Financing has

also been consistently negative and progressively larger in magnitude, widening from ₹9,409.51 lakh in FY2022 to ₹26,213.41 lakh in FY2026, most likely reflecting sustained dividend distributions. The net effect on the cash balance has been volatile: cash and cash equivalents fell in both FY2023 and FY2024 before recovering in FY2025 and FY2026, ending the period at ₹3,181.71 lakh, still below the FY2022 opening level of ₹6,519.84 lakh.\

Three Strengths

- **Consistent Revenue Growth:** CDSL sustained uninterrupted revenue growth across all five years, including 49.8% growth in FY2026, with total assets nearly doubling since FY2022.
- **Minimal Leverage:** The company carries negligible debt, with a Debt-to-Equity ratio never exceeding 0.002 and Interest Coverage in the thousands of times, leaving it effectively free of solvency risk
- **Strong Underlying Margins:** Despite margin compression, EBITDA Margin (68.49%) and Net Margin (48.75%) in FY2026 remain exceptionally high by any industry standard, reflecting a fundamentally asset-light, high-margin business model.

Risks

- **Margin Compression from Rising Costs:** Total Expenses rose from 34.42% to 46.10% of revenue between FY2023 and FY2026, with Finance Cost, Employee Benefits, and Other Expenses all growing faster than revenue, compressing NPAT growth to just 1.32% in FY2026 despite 49.8% revenue growth.
- **Narrowing Liquidity Buffer:** The Current Ratio has declined steadily from 4.59 to 2.76 over the period, and receivable days rose from 13.35 in FY2025 to 18.24 in FY2026, warranting continued monitoring of working capital efficiency.
- **Volatility in Asset Base and Cash Position:** Non-current asset growth has been highly erratic (129.6% in FY2023, then just 1.52% in FY2025, then 37.02% in FY2026), and cash and cash equivalents at FY2026 remain below the FY2022 level, indicating limited predictability in the company's asset and cash position year to year